

Ticker: TMDX
Valuation Date: April 2nd, 2026
Current Price: \$100.69

Recommendation: BUY
Target Price: \$123.05
Upside: 22.21%
Exchange: NASDAQ
Sector: HealthCare
Industry: Medical Devices

Revenue Growth Rate (YOY)

Key Numbers	
Outstanding Shares	34.17M
Public Float	33.08M
Market Cap	\$3.68B
P/E	22.29x
52-Week High	\$156.00
52-Week Low	\$82.62
Average Volume (3 mo.)	892.75K
Diluted EPS	\$4.86
Enterprise Value	\$4.01B
Beta	1.2

Figure 2: Revenue Growth Rate

INVESTMENT SUMMARY

TransMedics Group is a commercial-stage medical technology company transforming organ transplant therapy for patients with end-stage organ failure. We are issuing a BUY recommendation with a target price of \$123.05, representing a 22.21%% upside.

High Growth Opportunities: TransMedics has high growth opportunities, primarily driven by logistical expansion and continued technological innovation. Currently, TransMedics is in late-stage clinical trials for a new Organ Care System (OCS) machine compatible with the kidney. Kidney transplants account for the majority of organ transplants each year, offering the company a major growth opportunity as it prepares to launch the new platform in late 2026. Additionally, the company is in late-stage trials for its next-generation OCS Lung, which will maintain the fragile organ for longer and allow TransMedics to break into the marginal-organ market. TransMedics also plans to expand its National OCS Program into Europe in 2026, capitalizing on a largely untapped market. The global organ market is expected to grow steadily at a 9.2% CAGR. This growth is fueled by an aging population and the rise of chronic diseases. These facts paint a clear picture of TransMedics' future: High growth, high revenue, high income.

Stable Leadership: TransMedics' management team is highly qualified, with years of leadership experience and technical ability. Two of the three C-Suite executives hold degrees in medical or biological fields, and all three executives have spent their entire careers in the medical device industry. TransMedics was founded in 1998 by Waleed Hassanein, MD., who still serves as the CEO 25+ years later. His research in medical school led to the development of TransMedics' OCS machine, their flagship device. Leadership is strong and stable, still guided by the inventor himself.

Strong Financials: TransMedics continues to deliver explosive growth with FY 2025 revenue reaching \$605.5M, a 37.1% increase from FY 2024. Since the launch of its National OCS Program in late 2021, the company has maintained a CAGR of 59.5%, well above the sector average, highlighting the rapid scalability of its business model. TransMedic's profitability benefits from operating leverage, and its operating margin has increased YoY. As the company takes advantage of growth opportunities in 2026, its profitability scales exponentially. TransMedics also possesses a large liquidity cushion, minimal debt obligations, and solid PPE turnover. Comparing these factors alongside ratios such as P/E and P/B to those of similar companies underscores the value of buying a TransMedics share.

Minimal Competition: Finally, TransMedics faces little direct competition. Developing a system like the OCS is expensive and labor-intensive. TransMedics is the only company currently FDA-approved for this type of machinery, which presents a large barrier to entry and dissuades new competitors from entering the market.

Figure 3: Valuation Overview

Valuation Overview		
Valuation Date		April 2nd, 2026
Method	Weight	Price
DCF	60%	\$109.36
Comparables	40%	\$143.43
Target Price		\$123.05
Upside		22.21%



61.5%

Organ Care System

BUSINESS DESCRIPTION

Figure 4: Business Segments

Company Overview: Founded in 1998, TransMedics Group is a commercial-stage medical technology company transforming organ transplant therapy for patients with end-stage organ failure. Instead of using a cold-storage system, TransMedics Group developed the Organ Care System. This device replicates the organ's natural environment and function outside the human body and is the only FDA-approved warm perfusion platform for Heart, Lung, and Liver. OCS is supported by its National OCS Program, featuring 22 Medical Grade Airplanes, 90+ employees dedicated to NOP, 50+ Procurement Surgeons, and 200+ OCS clinical specialists, running 24 hours a day, and 365 days a year nationwide.

Organ Care System (OCS): As mentioned, TransMedics' primary revenue driver is its Organ Care System. OCS is a portable, multi-organ medical device designed to preserve, monitor, and optimize donor organs. OCS keeps organs at warm, body-like temperatures, helping them stay healthy and maintained for extended periods. It also provides oxygen and nutrients to the organ, helping it recover from prior stress and regain stability before the transplant. OCS is the best method for organ transportation, as it even allows doctors to monitor the organ's condition during transport. This represents 61.5% of TransMedics Group's revenue.

National OCS Program (NOP): The National OCS Program is TransMedics' other primary source of revenue. The NOP helps transport, manage, and deliver donor organs using the OCS system. TransMedics Group provides the procurement team that carefully retrieves the organ from the hospital. The team then sets up the OCS machine by connecting the organ to the circulation system to keep it functioning during transportation. A team of specialized clinical staff monitors and adjusts the OCS machine throughout the entire process.

The National OCS Program offers an on-demand air and ground transportation service to anywhere in the US. The effectiveness of the OCS machine enables longer-distance transportation and provides more viable organs for patients in need. This program also allows transplant centers to outsource organ procurement, preservation, and transportation, which represents 38.5% of TransMedics' revenue. This program saw a 533% increase in DCD (Donation after Circulatory Death) following its launch.

Financial Drivers & Key Expenses: TransMedics' financial profile shows that the company is in a scaling phase, where heavy upfront investment in a nationwide network and R&D is preparing the way for a long-term margin expansion.

Figure 5: R&D Expense

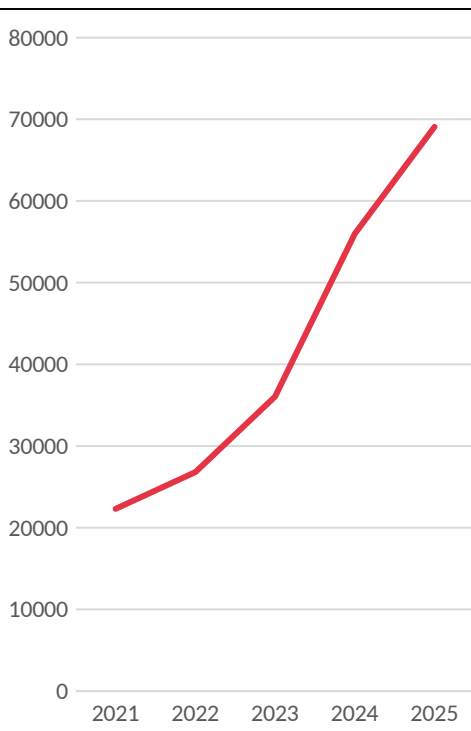
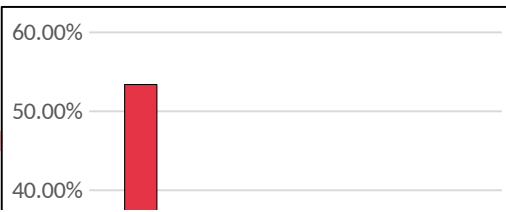


Figure 6: Expenses Breakdown by %

- SG&A (53.4% of total expense): Primarily composed of personnel costs and corporate infrastructure needed to manage the nationwide aviation and surgical network, reflecting the company's scaling phase.
- Cost of Revenue (23.7% of total expense): Includes manufacturing cost for OCS and direct logistic cost associated with NOP, such as airplane fuel and maintenance.
- R&D (19.3% of total expenses): Dedicated to continuous product innovation, including the development of the Gen 3.0 OCS kidney program and the integration of acquired technologies. TransMedics' high R&D spending also reflects the company's focus on scaling.

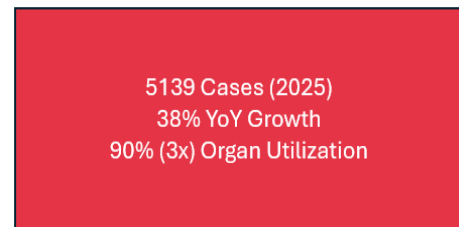


Ownership Structure: TransMedics Group currently has 34,174,325 shares of common stock outstanding. Of those outstanding shares, BlackRock owns 15.7%, followed by Fidelity at 12.9% and Vanguard at 10.6%. The CEO, Waleed Hassanein, holds the largest insider ownership stake at 3.8%. All executive officers and directors combined own 6.2% of all outstanding shares.



Company Strategy: TransMedics plans to increase the number of organ transplants by leveraging the Organ Care System in combination with the National OCS program, enabling hospitals to take advantage of this end-to-end service. The company says that by combining the OCS machine with their NOP transportation service, organ retrieval is more efficient and increases the volume of successful organ transplants. For TransMedics, this business model has the potential to scale, as demand for organs far exceeds supply, and each transplant can increase use of their OCS machine and NOP service, driving the company's growth.

Their strategy also includes acquisitions, including the 2023 purchase of Summit Aviation to create TransMedics Aviation as part of the NOP, and the acquisition of Bridge to Life's EVOSS warm-perfusion and LifeCradle cold-perfusion technology to expand their OCS portfolio.



MANAGEMENT AND GOVERNANCE

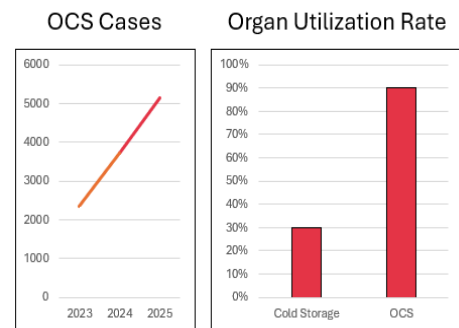
Environmental: TransMedics Group has an environmental disclosure score of 66, indicating that it follows best practices and has minimal to well-managed ecological impact. They have also identified climate change risks and introduced policies that led TransMedics to reduce the environmental impact of its products. In launching TransMedics Aviation, they considered the environmental impact of the fleet. They chose a newer fleet to use less fuel, be environmentally responsible, reduce maintenance costs, and minimize downtime, thereby maximizing availability for transplant missions.

Social: TransMedics has committed to training, safety, and health policies, ensuring all employees are trained and in good health when handling the product and live organs. Along with training, TransMedics is an equal opportunity employer, with a committee of non-board members dedicated to ensuring fair compensation for all employees. For patients, TransMedics is founded on improving patient outcomes

The newest officer is Giovanni Cecere, who stepped into the role of CCO in February 2026. Cecere began his career at TransMedics, holding various clinical and marketing roles after earning his Master of Science in Cardiovascular Perfusion from Northeastern University. After his time at TransMedics and a brief stint with Medtronic, Cecere founded INVOSURG, a medical device sales company where he served as CEO until his recent return to TransMedics.

Additionally, Stephen Gordon, former CFO of TransMedics, now serves as a senior advisor.

Board of Directors: The Board of Directors consists of eight members and three committees: the Audit Committee, the Compensation Committee, and the Nominating and Corporate Governance Committee. Each Director brings a diverse background across various industries and roles, providing a unique perspective and skill set to help the company grow. Each director is sufficiently independent of management, except for Waleed H. Hassanein, who is also the CEO, although he does not receive compensation for his services as a director. The Board has an independent Chair, which strengthens oversight and helps protect shareholder interests. The Nominating and Corporate Governance Committee oversees the



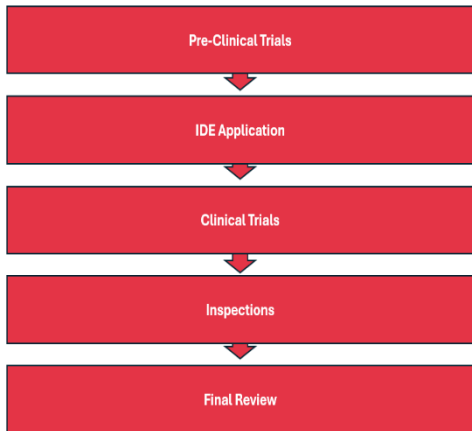


Figure 14: % of Organ Transplants Done Through CMS

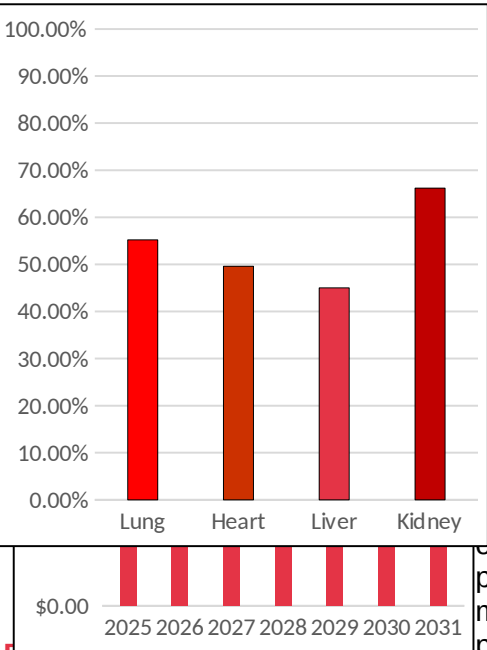


Figure 15: Competitors

Additionally, the market for organ transplants is growing as improvements in immunosuppressant drugs expand access. These drugs stop the body from rejecting a donor organ, making more transplants viable. Finally, the market grows as TransMedics makes its OCS system more widely available. Organ shortage is the biggest constraint in the industry, but improvements in organ transplant technologies cause fewer organs to go to waste and allow for more successful transplants.

Regulatory Environment: The organ transplant market is highly regulated by the Food and Drug Administration and other global governing bodies. The devices used are considered Class III by the FDA and require substantial evidence of safety and effectiveness before commercialization. For a device to be approved, it needs pre-market approval (PMA). Acquiring a PMA is a lengthy process that provides a significant barrier to entry for competitors. The process consists of an IDE application to support clinical trials and their associated costs, inspections of the manufacturing facility, and a final review by an advisory panel. The paperwork of filing a PMA alone typically takes over a year, and the whole process takes 3-7 years.

Additionally, the market has reimbursement considerations. A large portion of transplant patients in the U.S. are covered by government programs administered by the Centers for Medicare & Medicaid Services (CMS). Under this structure, hospitals receive a fixed bundled payment for the transplant procedure. If a new transplant technology increases procedure costs but does not increase reimbursement, hospitals must absorb the difference, which slows adoption rates. The OCS system is more expensive than traditional Static Cold Storage. However, OCS demonstrates economic value by increasing organ utilization, improving transplant outcomes, and streamlining the entire process for hospitals, thereby lowering long-term costs. The FDA is also moving toward recognizing "Warm Perfusion" as the clinical standard over cold storage, which could increase the value of bundled payments and demand for TransMedics' services.

COMPETITIVE POSITIONING

Competitive landscape: TransMedics' main competitive advantage is its superior organ care system technology. Its OCS system offers the only FDA-approved, portable, multi-organ warm perfusion platform that other competitors don't fully match. OrganOx and XVIVO, their main competitors, only offer single organ perfusion systems, while TransMedics' OCS can be used for three organs: hearts, lungs, and livers. Based on the VRIN framework:

- The TransMedics' Organ Care System is more valuable than competitors' organ preservation technologies due to its improvement in patient outcomes.
- The OCS is rare and difficult to imitate because patents and other intellectual property rights protect the technology. Competitors would need to replicate the technology for a multi-organ platform, gain regulatory approval, and build clinical evidence.
- TransMedics' technology is not easy to substitute, as no competitor offers an OCS machine for all three organs. OrganOx offers a warm perfusion system for livers, and XVIVO offers one for lungs. Neither has technology for all three.

The OCS machine also provides a significant source of recurring revenue driven by Another major competitive advantage TransMedics has is its National OCS Program. This full-service program helps hospitals obtain donor organs by retrieving, managing, and transporting them using its OCS machine, allowing hospitals to outsource the entire process. The company has an extensive transportation network, including private aircraft dedicated to organ procurement. The National OCS



Figure 16: NOP Center Geography

Opportunities: The first opportunity for TransMedics is international expansion. It has plans to expand its NOP model to Europe, starting in Italy. Successfully creating an NOP model abroad will diversify their revenue and reduce their geographic concentration risks. In addition, TransMedics' full commercial launch of the OCS kidney is expected for late 2026, a major growth indicator. Since kidneys are the largest segment in terms of volume in the organ transplant industry, capitalizing on this market can significantly increase TransMedics' revenue and reach. Furthermore, ongoing platforms and trials such as Enhance (Heart) and Denovo (Lungs) are advancing the next generation of OCS. These new devices will allow TransMedics to enter the marginal organ market, expanding its total addressable market. The marginal organ market comprises organs that meet extended criteria for transplantation, typically meaning they come from older donors or donors with certain medical conditions.

Threats: TransMedics faces an increasing competitive aggression from well-funded companies like XVIVO Perfusion and Organ-Ox, which was recently acquired by Terumo. These competitors are trying to challenge TransMedics' dominance in the market by offering more automated technology or a lower-cost alternative. In addition, the company faces regulatory and reimbursement scrutiny, since the cost of the NOP has become a larger part of budgets, insurers might push for more transplants or limit pricing. In regulation, any significant safety incident or technical failure in the aviation division could damage TransMedics' reputation or even lead to legal problems that a standard medical device company wouldn't face.

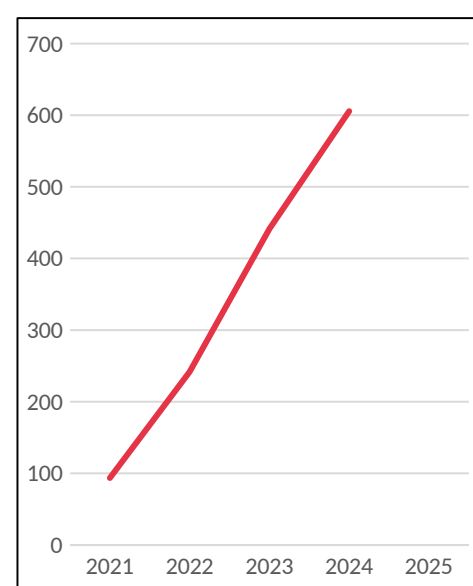


Figure 18: Segment Breakdown by % of Rev

FINANCIAL ANALYSIS

Revenue Growth and Scaling Trajectory: TransMedics continues to deliver explosive growth, with FY 2025 revenue reaching \$605.5 million, a 37.1% increase from FY 2024. Since the full-scale launch of the National OCS Program in the United States, the company has maintained a compound annual growth rate of 59.5%, which significantly outpaces the medical technology sector's average growth rate of 9-12%. This growth occurred because the company shifted from a hardware-only model to a logistics provider.

In FY 2025, the company's service revenue, including aviation and clinical flight teams, became a primary engine of growth. By owning the organ transplant infrastructure, TransMedics created its own demand, ensuring customers that whenever an organ becomes available, a TransMedics team is ready to transport it. Additionally, TransMedics spent \$69 million on R&D in 2025, around 11.4% of total revenue. On average, Medtech companies spend 6-12% of their revenue on R&D, meaning TransMedics falls at the higher end of this range. This reflects their focus on growth and innovation, as well as the higher costs of late-stage trials for their new wave of OCS machines.

Segment Performance: OCS Liver remains the company's powerhouse, contributing to the 2025 revenue spike and growing 48.7% since 2024. The use of OCS for liver transplant has increased as surgeons move away from traditional cold storage to warm perfusion, and, along with its associated NOP revenue, the OCS Liver accounts for 76.6% of TransMedics' total revenue. OCS Lung saw steady digit growth, but the true factor in 2026 lies in the next generation OCS Lung rollout.

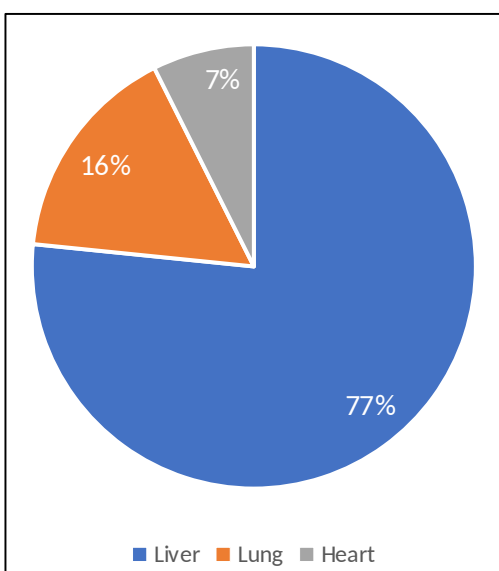
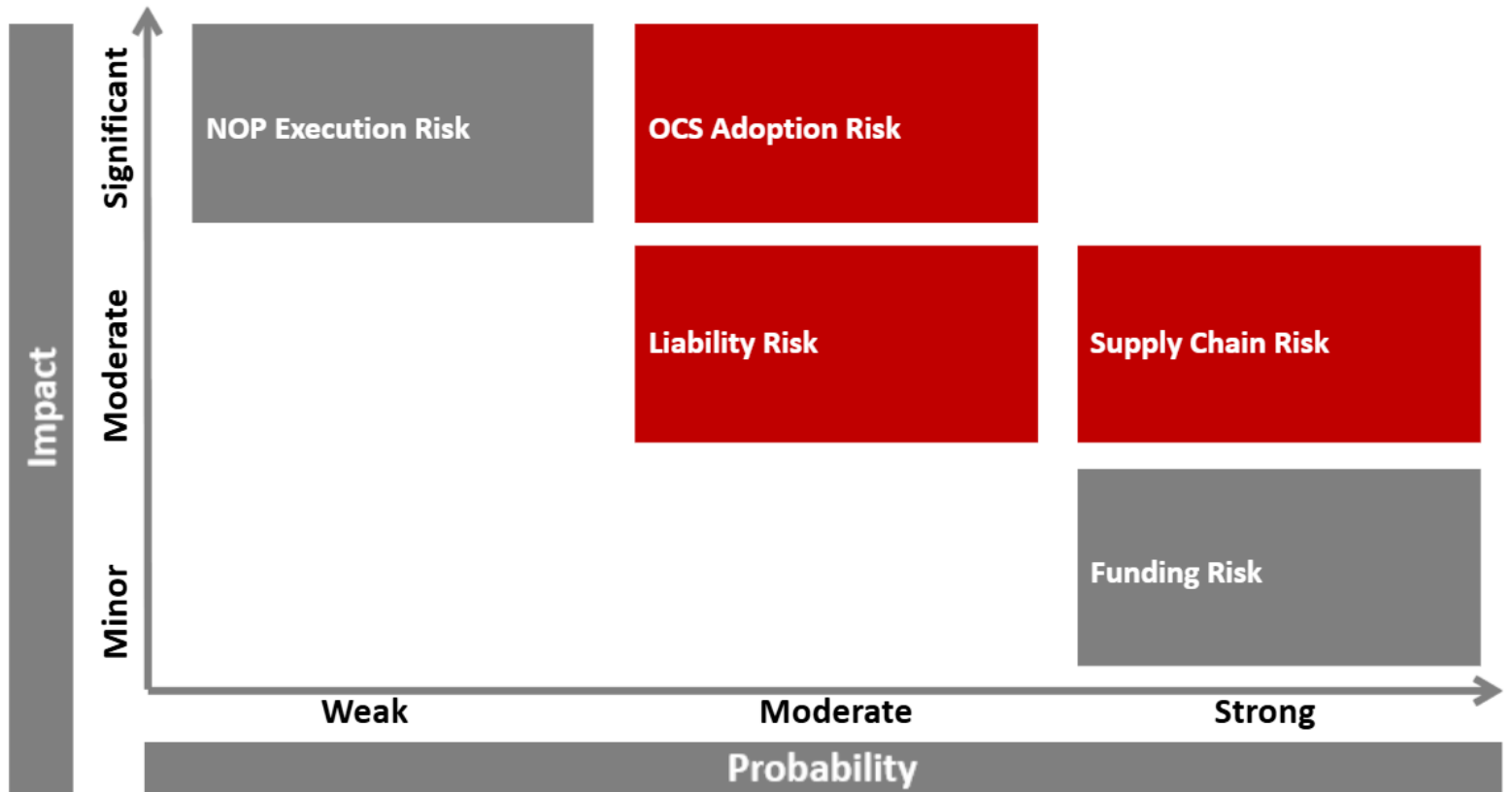


Figure 23:

Asset Utilization: Following its high-asset-turnover business model, TransMedics has optimized asset utilization by expanding its fleet to 22 aircraft and reducing its reliance on third-party flights, which were a significant cash drain. TransMedics' PPE turnover is 1.97, meaning that its assets generate nearly twice their value in revenue. This is a moderately strong ratio, suggesting solid asset utilization, and is up slightly from 1.92 in 2024. TransMedics also maintains a high collection efficiency from transplant centers and hospitals, ensuring that cash generated from OCS disposables is quickly reinvested in the NOP network expansion.

INVESTMENT RISKS



OCS Adoption Risk: TransMedics faces several material risks. The most significant risk is directly tied to the OCS machine itself. TransMedics' long-term success depends heavily on continued adoption and acceptance of the OCS machine. The company's revenue is primarily driven by the sale of single-use disposable OCS sets, which are replaced after each transplant. If hospitals and transplant centers are slow to adopt the OCS machine due to costs or complexity, the company's growth will be limited. To mitigate this risk, TransMedics focuses on educating hospitals and transplant centers about the benefits of the OCS machine while building clinical evidence to support its claims. The company also provides training and assistance with equipment setup for hospitals and transplant centers to help reduce adoption friction. This mitigation strategy appears to be effective, but there are still many barriers for new customers, such as the high cost of the OCS platform, which may limit adoption.

NOP Execution Risk: The National OCS Program is central to TransMedics' business model, as most US customers participate in the program. If the company cannot maintain the program's effectiveness and efficiency as it continues to expand, revenue will be materially reduced. To mitigate this risk, TransMedics has expanded its logistical capacity by acquiring Summit Aviation and purchasing aircraft to increase the efficiency and scalability of the National OCS Program. These investments reduce execution risk by yielding the company greater control over organ transportation and decreasing its dependence on third-party logistics providers. This is a step in the right direction for TransMedics, but the company is still exposed to logistical risks, including limited aircraft availability, pilot shortages, rising fuel/transportation costs, and weather disruptions.

Supply Chain Risk: TransMedics also faces supply chain risks. TransMedics is subject to significant supply chain risk because it relies on single- and, in some cases, sole-source suppliers for many components used to manufacture the OCS machine. This creates a significant operational vulnerability because, if a key supplier goes out of business or delays shipments, TransMedics could face production and fulfillment delays or difficulty sourcing another supplier. To mitigate this risk, TransMedics uses contractual agreements with certain suppliers and manufacturers to reduce the likelihood of any major disruptions to its operations. The company also has a team dedicated to supply chain management, and its manufacturing facilities are sufficient to cover forecasted demand over the next several years. This mitigation strategy is only marginally sufficient, as the company still relies heavily on single-source suppliers, and new suppliers may be difficult to find and time-consuming to establish.

Funding Risk: If hospitals and transplant centers are unable to fund or receive reimbursement for the purchase of OCS machines, disposable sets, and NOP services, then TransMedics' revenue will suffer materially. If funding is limited, hospitals may use cheaper organ-preservation methods instead, slowing the company's growth. To mitigate this risk, TransMedics is continuing to build clinical evidence that demonstrates the effectiveness of the OCS machine, which may make insurers and government payors more willing to fund these purchases. This is a sensible mitigation strategy as hospitals and transplant centers will not receive funding for products with little or weak clinical evidence.

Figure 19: WACC Breakdown

Input	Value
Risk free Rate	4.17%
Market Risk Premium	6.67%

Input	Value
Beta (5 year monthly)	1.2
Cost Of Equity	12.17%
Pre Tax Cost of Debt	4.8%
Tax Rate	21.0%
After Tax Cost of Debt	3.8%
Debt/Total Capital	12.9%
Equity/Total Capital	87.1%
WACC	11.1%

Figure 20: TV and EV Breakdown

Input	Value
Terminal Growth Rate	3.0%
FCF Year 6 (t+1)	\$415.1M
Terminal value	\$5129.5M
H Model Adjustment	\$(1,230.6M)
H Model + terminal value	\$3,898.9M
PV of terminal value	\$2,304.1M
Sums of PV of FCF(1-5yr)	\$1,453.5M
Enterprise Value	\$3,757.6M
Less: Net Debt	\$(20.9M)
Equity Value	\$3736.7M
Diluted Share Outstanding	34.2M
DCF Equity Value Share Price	\$109.36M

VALUATION

Valuation Methodology & Analysis: The valuation of TransMedics Group is based on a blended approach combining a Discounted Cash Flow analysis and a relative valuation framework, weighted 60% and 40%, respectively. This results in a target price of \$123.05, implying approximately 22.21% upside from the current share price of \$100.69.

Discounted Cash Flow (DCF): The DCF projects unlevered free cash flows over a five-year forecast period and discounts them at a weighted average cost of capital (WACC) of 10.1%. The cost of equity is estimated at 12.17% using CAPM, based on a 4.17% risk-free rate, a 6.67% equity risk premium, and a beta of 1.2 source from Bloomberg Terminal. The after-tax cost of debt is 3.79%, derived from a 4.8% pre-tax cost and a 21% tax rate. These inputs are applied to a capital structure composed of approximately 87% equity and 13% debt.

Revenue growth is modeled to decelerate from 22.1% in Year 1 to 10.0% in Year 5, reflecting a transition from high growth to a more normalized expansion profile. The 2026 rate are supported by management guidance of 20-25% revenue growth on February 24, 2026, and slowing down to 10% by year 5 reflecting MedTech sector long run growth rate of 10-15%. Over the same period, EBIT margins are assumed to expand from 19.5% to 23.0% as operating leverage improves, driven by fixed cost. Primarily aircraft maintenance, pilot staffing and NOP hub infrastructure. This trajectory also supported by management guidance of 30% operating margin by 2028 While capital expenditures decline from 30% to 10% of revenue as the company moves beyond its most intensive investment phase. The company achieves 22 aircraft as their target in 2025 and has indicated capital expenditures will decrease as the network mature. These assumptions generate projected free cash flows ranging from approximately \$361 million to \$403 million.

Terminal value is calculated using a growth in perpetuity framework with an H-model adjustment, allowing growth to gradually decline to a 3.0% long-term rate over eight years rather than dropping immediately. This approach provides a more realistic transition into steady state growth. The resulting enterprise value is approximately \$3.74 billion, which, after subtracting net debt of \$20.9 million and dividing by 34.17 million diluted shares, yields an equity value per share of \$109.36. Sensitivity analysis across a WACC range of 8.1% to 12.1% and terminal growth of 2.5% to 3.5% produces a valuation range of roughly \$96 to \$180, with the base case

Figure 21: Sensitivity Scenarios

Scenario	WACC	Terminal Growth	Price/Share	Vs. Current
Bull	9.05%	3.50%	\$149.00	47.90%
Base	11.05%	3%	\$109.36	8.61%
Bear	13.05%	2.50%	\$87.85	-12.75%

Figure 22: TMDX Ratio Snapshot

TMDX	Value
EPS	\$4.81
Sales/Sh	\$17.8
BV/Sh	\$13.81
EBITDA	\$138.45

Relative Valuation: The comparable company analysis benchmarks TransMedics against a peer group consisting of ACADIA Pharmaceuticals, Kiniksa Pharmaceuticals, Ligand Pharmaceuticals, Penumbra, and Inspire Medical Systems, which were chosen for their similar size, structure, and industry. Four valuation multiples are used: P/E, P/S, P/B, and EV/EBITDA. Peer median multiples are applied to TMDX’s financials to derive implied equity values. For example, applying a median P/E of 64.0x to earnings per share of \$4.81 results in an implied value of \$307.65, while applying a median EV/EBITDA multiple of 31.2x to EBITDA of \$138.45 million, adjusting for net debt, produces an implied value of \$125.25 per share.

The PEG ratio is excluded from the valuation framework despite being included for reference. The peer group shows significant variance in PEG values, ranging from 0.04x to 1.90x, making the median unreliable. In addition, TMDX’s own PEG of approximately 0.06x is driven by unusually high expected earnings growth, leading to an implied valuation that is not meaningful. Therefore, PEG introduces noise and is not a reliable metric.

Weighting across the remaining multiples reflects their relative usefulness. EV/EBITDA receives the highest weighting due to its capital structure neutrality and focus on operating performance. P/S is also emphasized given the stability of revenue-based metrics for a company still scaling margins. P/E is incorporated as a secondary check on earnings-based valuation, while P/B is included as a lower weighted reference point. This framework results in a weighted comps-based valuation of \$143.43.

Target Price: The final valuation assigns a 60% weight to the DCF and 40% to the comps analysis, reflecting greater confidence in intrinsic valuation for a company with a differentiated growth profile. The blended target price of \$123.05 implies approximately 22.21% upside from current levels. When considered alongside the sensitivity range of \$96 to \$180, the valuation suggests that downside risk is relatively limited, while upside potential remains meaningful under reasonable assumptions.

Price Catalysts: While the base case DCF already assumes steady NOP volume growth, there are a few clear catalysts that could drive a near term rerating. The most significant is the OCS Kidney clinical trial, expected to launch in late 2026, which opens an entirely new and substantially larger addressable market. In 2025, 27,573 kidney transplants were performed in the U.S., nearly 9x the volume of lung transplants, meaning even modest early penetration would represent a material revenue opportunity. The DENOVO Lung trial represents longer dated pipeline optionality; however, given that full FDA IDE approval was only received in January 2026 and enrollment is just beginning, a data readout is not expected until 2028–2029 at the earliest, with commercial contribution unlikely before 2029–2030. Approximately 3,340 lung transplants were performed in the U.S. in 2024, representing a more limited but still meaningful incremental market upon eventual approval. Beyond the pipeline, CMS reimbursement recognition, if achieved by 2027, would structurally accelerate hospital adoption by removing the cost absorption friction that currently slows purchasing decisions across all organ lines. International expansion, beginning with Italy, is expected to contribute incremental revenue by approximately 2028 as the NOP logistics network scales abroad. Underpinning all of these catalysts is the core NOP volume engine, which remains the primary revenue driver. Based on our model, revenue growth is expected to moderate from 19% in FY2026 to 16% in FY2027 and 13% in FY2028, supporting a low-to-mid teens CAGR of 13–16% through the forecast period.

Figure 23: Price Catalyst Analysis

Timeframe	Catalyst	Revenue Impact	Risk Level
H2 2026	OCS Kidney Commercial Launch	Access to a new addressed market	Medium - trial pending
2027	CMS Reimbursement Recommendation	Accelerates hospital adoption, Expands TAM	High - uncertainty
2028	OCS Lungs Data Readout	Incremental market growth	Medium - enrollment ongoing
2026-2028	EU Market Expansion	Increased international revenue	Medium - regulatory + logistical complexity
Ongoing	Case Volume Growth	19-22% CAGR FY2026-2028	Low - established operation

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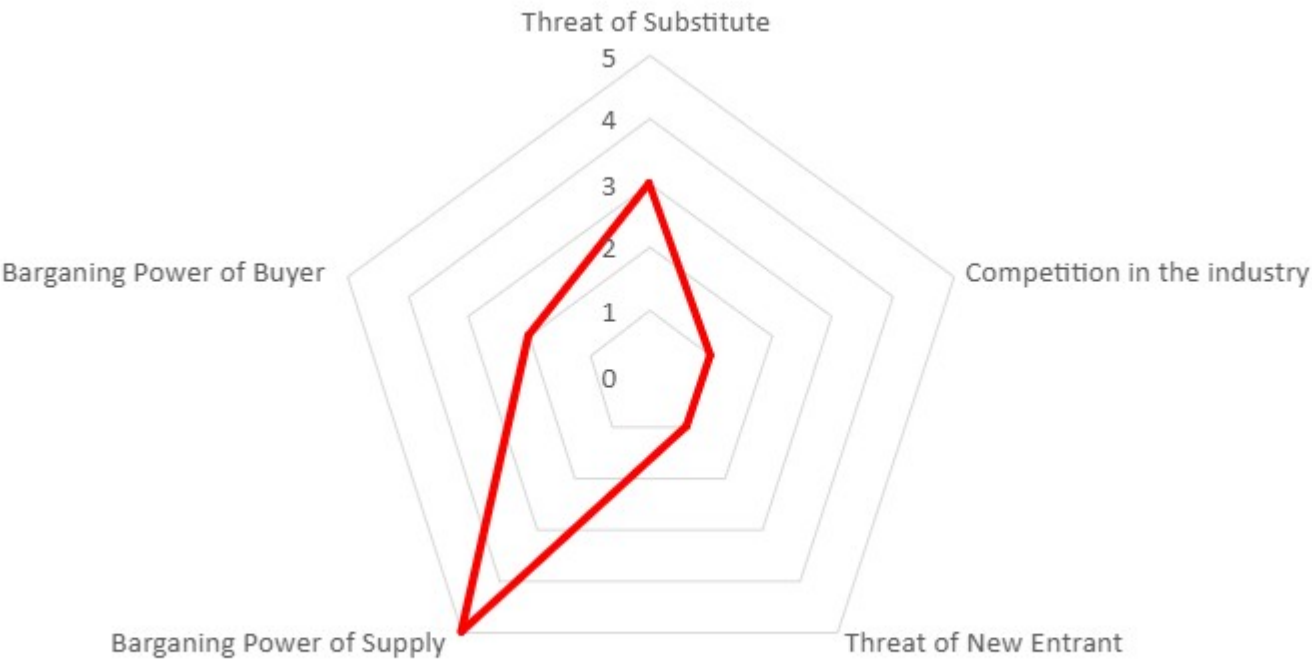
APPENDIX 1

Financial Statements – Balance Sheet

	December 31,	
	2025	2024
Assets		
Current assets:		
Cash	\$ 488,366	\$ 336,650
Accounts receivable	84,282	97,722
Inventory	48,881	46,554
Prepaid expenses and other current assets	16,254	16,290
Total current assets	637,783	497,216
Property, plant and equipment, net	327,656	285,970
Operating lease right-of-use assets	5,155	6,481
Deferred tax assets	83,543	—
Restricted cash	500	500
Goodwill	11,549	11,549
Acquired intangible assets, net	1,948	2,152
Other non-current assets	239	208
Total assets	\$ 1,068,373	\$ 804,076
Liabilities and Stockholders' Equity		
Current liabilities:		
Accounts payable	\$ 10,350	\$ 10,292
Accrued expenses and other current liabilities	62,740	45,152
Current portion of long-term debt	10,000	—
Deferred revenue	2,905	1,742
Operating lease liabilities	3,310	2,727
Total current liabilities	89,305	59,913
Convertible senior notes, net	452,804	449,939
Long-term debt, net	49,587	59,372
Operating lease liabilities, net of current portion	3,577	6,249
Total liabilities	595,273	575,473
Commitments and contingencies (Note 12)		
Stockholders' equity:		
Preferred stock, no par value; 25,000,000 shares authorized; no shares issued or outstanding	—	—
Common stock, no par value; 150,000,000 shares authorized; 34,267,802 shares and 33,617,972 shares issued and outstanding as of December 31, 2025 and 2024, respectively	750,926	697,208
Accumulated other comprehensive income (loss)	124	(364)
Accumulated deficit	(277,950)	(468,241)
Total stockholders' equity	473,100	228,603
Total liabilities and stockholders' equity	\$ 1,068,373	\$ 804,076

	Year Ended December 31,		
	2025	2024	2023
Revenue:			
Net product revenue	\$ 372,401	\$ 273,866	\$ 176,069
Service revenue	233,093	167,674	65,554
Total revenue	605,494	441,540	241,623
Cost of revenue:			
Cost of net product revenue	77,822	58,345	41,015
Cost of service revenue	164,866	121,114	46,515
Total cost of revenue	242,688	179,459	87,530
Gross profit	362,806	262,081	154,093
Operating expenses:			
Research, development and clinical trials	69,055	55,968	36,055
Acquired in-process research and development expenses	—	—	27,212
Selling, general and administrative	185,168	168,617	119,553
Total operating expenses	254,223	224,585	182,820
Income (loss) from operations	108,583	37,496	(28,727)
Other income (expense):			
Interest expense	(13,782)	(14,409)	(10,791)
Interest income and other income (expense), net	12,721	12,693	12,847
Total other income (expense), net	(1,061)	(1,716)	2,056
Income (loss) before income taxes	107,522	35,780	(26,671)
(Provision) benefit for income taxes	82,769	(316)	1,643
Net income (loss)	\$ 190,291	\$ 35,464	\$ (25,028)
Net income (loss) per share:			
Basic	\$ 5.60	\$ 1.07	\$ (0.77)
Diluted	\$ 4.87	\$ 1.01	\$ (0.77)
Weighted average common shares outstanding:			
Basic	33,993,468	33,229,953	32,517,372
Diluted	40,540,694	35,216,837	32,517,372

	Year Ended December 31,		
	2025	2024	2023
Cash flows from operating activities:			
Net income (loss)	\$ 190,291	\$ 35,464	\$ (25,028)
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:			
Depreciation and amortization expense	27,185	19,758	8,177
Stock-based compensation expense	36,861	33,224	19,791
Acquired in-process research and development expenses	—	—	27,212
Deferred taxes	(83,543)	—	(1,660)
Non-cash interest expense and end of term accretion expense	3,080	3,111	2,128
Non-cash lease expense	2,132	1,564	1,041
Unrealized foreign currency transaction (gains) losses	(1,622)	665	(342)
Loss on disposal of fixed assets	80	17	—
Changes in operating assets and liabilities, net of acquired assets and liabilities:			
Accounts receivable	13,950	(34,310)	(33,816)
Inventory	(7,716)	(8,353)	(28,092)
Prepaid expenses and other current assets	(3,759)	(6,262)	(2,101)
Other non-current assets	(23)	(149)	(54)
Accounts payable	(19)	(1,396)	6,957
Accrued expenses and other current liabilities	17,694	7,938	14,250
Deferred revenue	1,144	(203)	83
Operating lease liabilities	(2,895)	(2,265)	(1,574)
Net cash provided by (used in) operating activities	192,840	48,803	(13,028)
Cash flows from investing activities:			
Purchases of property, plant and equipment	(59,251)	(129,744)	(151,847)
Purchase of business, net of cash acquired	—	441	(14,894)
Purchase of in-process research and development assets	—	—	(27,212)
Net cash used in investing activities	(59,251)	(129,303)	(193,953)
Cash flows from financing activities:			
Proceeds from issuance of convertible senior notes, net of issuance costs paid of \$14,620	—	—	445,380
Purchases of capped calls related to convertible senior notes	—	—	(52,072)
Proceeds from issuance of common stock upon exercise of stock options	13,746	20,813	6,155
Proceeds from issuance of common stock in connection with employee stock purchase plan	3,249	2,061	955
Tax withholding payments related to net settlement of restricted stock units	(138)	—	—
Net cash provided by financing activities	16,857	22,874	400,418
Effect of exchange rate changes on cash and restricted cash	1,270	(536)	193
Net increase (decrease) in cash and restricted cash	151,716	(58,162)	193,630
Cash and restricted cash, beginning of period	337,150	395,312	201,682
Cash and restricted cash, end of period	\$ 488,866	\$ 337,150	\$ 395,312
Supplemental disclosure of cash flow information:			
Cash paid for interest	\$ 10,702	\$ 11,297	\$ 8,089
Supplemental disclosure of non-cash activities:			
Transfers of inventory to property, plant and equipment	\$ 5,679	\$ 5,803	\$ 4,574
Purchases of property, plant and equipment included in accounts payable and accrued expenses	\$ 1,753	\$ 2,062	\$ 2,454
Operating lease liabilities arising from obtaining right-of-use assets	\$ 795	\$ 1,499	\$ 2,171
Conversion of convertible senior notes into common stock	\$ —	\$ 4	\$ —
Reconciliation of cash and restricted cash:			
Cash	\$ 488,366	\$ 336,650	\$ 394,812
Restricted cash	500	500	500
Total cash and restricted cash shown in the statement of cash flows	\$ 488,866	\$ 337,150	\$ 395,312



	Assessment	Implication
Valuable		Strong Pricing power
Rare		Limited Direct Competitors
Inimitable		High regulatory barrier to Replicate
Non - substitute		No Credible Substitute

APPENDIX 6

Discounted Cash Flow Model

Valuation Date:						4/2/2026							absolute numbers are in millions of \$
Share Price on Valuation Date:						\$100.69							
Diluted Shares Outstanding						34.2							

Select Operating Data													
								Projected Annual Forecast					
	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026P	2027P	2028P	2029P	2030P	
Revenue	\$23.6	\$25.6	\$30.3	\$93.5	\$241.6	\$441.5	\$605.5	\$739.3	\$879.8		\$1,020.6	\$1,153.2	\$1,268.5
Revenue Growth Rate (%)		8.47%	18.36%	208.58%	158.40%	82.74%	37.15%	22.1%	19.0%		16.0%	13.0%	10.0%
Gross Profit	\$13.9	\$16.6	\$21.2	\$65.3	\$154.1	\$262.1	\$362.8	\$470.57	\$559.98		\$649.58	\$734.03	\$807.43
Gross Profit Margin (%)	58.90%	64.84%	69.97%	69.84%	63.78%	59.37%	59.92%	63.7%	63.7%		63.7%	63.7%	63.7%
EBIT	-\$29.6	(\$26.4)	(\$39.4)	(\$31.4)	(\$28.7)	\$37.5	\$108.6	\$144.17	\$184.75		\$224.52	\$259.48	\$291.77
EBIT Margin (%)	-125.42%	-103.13%	-130.03%	-33.58%	-11.88%	8.49%	17.94%	19.5%	21.0%		22.0%	22.5%	23.0%
Depreciation & Amortization	\$1.2	\$1.6	\$1.8	\$3.5	\$8.2	\$19.6	\$27.2	\$34.45	\$41.00		\$47.56	\$53.74	\$59.11
D&A as a % of revenue	5.08%	6.3%	5.9%	3.7%	3.4%	4.4%	4.5%	4.7%	4.7%		4.7%	4.7%	4.7%
PP&E + Intangibles		\$4.8	\$4.8	\$9.8	\$19.2	\$173.9	\$286.0	\$327.7					
	25.00%	33.33%	18.37%	18.23%	4.72%	6.85%	8.30%						

Select Balance Sheet And Other Data													
								Projected Annual Forecast					
	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026P	2027P	2028P	2029P	2030P	
Accounts Receivable	6.6	6.9	5.9	27.6	63.6	97.7	84.3	153.8	183.0	212.3	239.9	263.9	
Inventories	11.2	11.9	14.9	20.6	44.2	46.6	48.9	51.8	61.6	71.4	80.7	88.8	
Prepaid Expenses	1.5	2.3	5.5	2.9	8.0	16.3	16.3	43.1	51.3	59.5	67.2	74.0	
Accounts Payable and Accruals	\$7.2	\$1.2	\$6.7	\$3.3	\$12.7	\$10.3	\$10.4	\$59.1	\$70.4	\$81.6	\$92.3	\$101.5	
Accrued Expenses	8.3	10.3	16.3	18.6	38.2	45.2	62.7	103.5	123.2	142.9	161.5	177.6	
LT + ST Debt	34.1	34.7	43.8	67.5	515.9	58.3	509.3						
Cash	20.1	24.6	25.6	201.2	394.8	336.7	488.4						
Capital Expenditures			-3.5	-11.9	-151.8	-129.7	-59.3	(221.8)	(219.9)	(204.1)	(173.0)	(126.9)	
Accounts Receivable as a % of revenue	27.97%	26.95%	19.47%	29.52%	26.32%	22.13%	13.92%	20.8%	20.8%	20.8%	20.8%	20.8%	
Inventories as a % of revenue	47.46%	46.48%	49.17%	22.03%	18.29%	10.55%	8.08%	7.0%	7.0%	7.0%	7.0%	7.0%	
Prepaid Expenses as a % of revenue	6.36%	8.98%	18.15%	3.10%	3.31%	3.69%	2.69%	5.83%	5.83%	5.83%	5.83%	5.83%	
Accounts Payable/Accruals as a % of revenue	30.51%	4.69%	22.11%	3.53%	5.26%	2.33%	1.72%	8.0%	8.0%	8.0%	8.0%	8.0%	
Accrued Expenses as a % of revenue	35.17%	40.23%	53.80%	19.89%	15.81%	10.24%	10.36%	14.0%	14.0%	14.0%	14.0%	14.0%	
Capital Expenditures as a % of revenue	0.00%	0.00%	-11.55%	-12.73%	-62.83%	-29.38%	-9.79%	(30.0%)	(25.0%)	(20.0%)	(15.0%)	(10.0%)	
Accounts Receivable Growth (%)		4.55%	-14.49%	367.80%	130.43%	53.62%	-13.72%						
Inventories Growth (%)		-	-	-	-	-	-						
Prepaid Expenses Growth (%)		53.33%	139.13%	-47.27%	175.86%	103.75%	-						
Accounts Payable/Accruals Growth (%)		-83.33%	458.33%	-50.75%	284.85%	-18.90%	0.97%						
Accrued Expenses Growth (%)		24.10%	58.25%	14.11%	105.38%	18.32%	38.72%						
Capital Expenditures Growth (%)		N/M	N/M	240.00%	1175.63%	-14.56%	-54.28%						

Free Cash Flow Buildup													
\$mm								Projected Annual Forecast					
	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026P	2027P	2028P	2029P	2030P	
Period								1	2	3	4	5	
Total Revenues	\$23.6	\$25.6	\$30.3	\$93.5	\$241.6	\$441.5	\$605.5	\$739.3	\$879.8	\$1,020.6	\$1,153.2	\$1,268.5	
EBIT	-\$29.6	(\$26.4)	(\$39.4)	(\$31.4)	(\$28.7)	\$37.5	\$108.6	\$144.2	\$184.8	\$224.5	\$259.5	\$291.8	
Tax rate	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	
EBIAT = EBIT(1-T) = NOPAT	-\$23.4	-\$20.9	-\$31.1	-\$24.8	-\$22.7	\$29.6	\$85.8	\$113.9	\$146.0	\$177.4	\$205.0	\$230.5	
Depreciation & Amortization	1.2	1.6	1.8	3.5	8.2	19.6	27.2	34.5	41.0	47.6	53.7	59.1	
Chg in Accounts receivable		(0.3)	1.0	(21.7)	(36.0)	(34.1)	13.4	(69.5)	(29.2)	(29.3)	(27.6)	(24.0)	
Chg in Inventories		(0.7)	(3.0)	(5.7)	(23.6)	(2.4)	(2.3)	(2.9)	(9.8)	(9.9)	(9.3)	(8.1)	
Chg in Prepaid expenses		(0.8)	(3.2)	2.6	(5.1)	(8.3)	0.0	(26.8)	(8.2)	(8.2)	(7.7)	(6.7)	
Chg in Accounts payable		(6.0)	5.5	(3.4)	9.4	(2.4)	0.1	48.7	11.2	11.3	10.6	9.2	
Chg in Accrued expenses		2.0	6.0	2.3	19.6	7.0	17.5	40.8	19.7	19.7	18.6	16.1	
Capital expenditures		0.0	3.5	11.9	151.8	129.7	59.3	221.8	219.9	204.1	173.0	126.9	
Unlevered free cash flows		(\$25.1)	(\$19.5)	(\$35.3)	\$101.6	\$138.7	\$201.0	\$360.6	\$390.6	\$412.7	\$416.3	\$403.1	
Discount Rate (WACC)								11.09%	11.09%	11.09%	11.09%	11.09%	
Present value of free cash flows								\$ 324.6	\$ 316.5	\$ 301.0	\$ 273.3	\$ 238.2	
Sum of present values of FCFs			\$1,453.5					79.39%	8.32%	5.66%	0.87%	-3.18%	

Terminal Value													
Growth in perpetuity method:													
Long term growth rate			3.00%		Years to Long-term rat			Unlevered Free Cash Flow Growth Rates					
WACC			11.09%		8	2026	2027	2028	2029	2030			
Free cash flow (t+1)			415.1			0.08	0.08	0.06	0.01	-0.03			
Terminal Value			5,129.5										
H-Model			(1,230.6)										
H-Model + Terminal Value			3,898.9										
Present Value of Terminal Value			\$2,304.1										

WACC													
Share Price						\$100.69							
Diluted Shares Outstanding						34.2							
Cost of Debt						4.80%							
Tax Rate						21.0%					MRP	6.67%	
After-tax Cost of Debt						3.8%					RFR	4.17%	
Cost of Equity						12.17%					Beta	1.2	

APPENDIX 7

Relative Valuation Model

TMDX Reference Data									
Share Price	\$100.69	EPS	\$4.81	Sales/Sh	\$17.80	BV/Sh	\$13.81	EBITDA (\$mm)	138.45
Shares Out (mm)	34.2	Net Debt (\$mm)	20.9						
Peer Comparable Multiples									
Ticker	P/E	P/S	P/B	PEG	EV/EBITDA	EBITDA (\$mm)			
TMDX	22.3x	6.0x	7.8x	0.06x	26.6x	138.5			
ACAD	9.9x	3.5x	3.1x	0.04x	22.4x	68.3			
KNSA	64.0x	5.6x	6.6x	1.90x	43.0x	83.2			
LGND	287.8x	14.9x	4.0x	1.61x	46.2x	57.5			
PEN	85.8x	9.2x	9.1x	1.07x	31.2x	129.2			
INSP	11.0x	1.8x	2.0x	0.06x	24.9x	230.8			
Peer Median	64.0x	5.6x	4.0x	1.07x	31.2x				
Peer Average	91.7x	7.0x	4.9x	0.94x	33.5x				
Implied Target Price									
	P/E	P/S	P/B	EV/EBITDA	Weighted Target				
Based on Median	\$307.65	\$99.32	\$55.10	\$125.72	\$143.60				
Based on Average	\$441.01	\$124.14	\$68.22	\$135.22	\$183.00				
Premium / (Discount)	-67.3%	1.4%	82.7%	-19.9%					
Over / Under	Under	Over	Over	Under					
Weighting	20%	30%	15%	35%	100%				
Wtd. Contribution	\$61.53	\$29.80	\$8.27	\$44.00	\$143.60				

APPENDIX 8

Sensitivity Analysis

WACC/Terminal Growth	2.0%	2.5%	3.0%	3.5%	4.0%
7.05%	\$180.32	\$192.13	\$206.83	\$225.62	\$250.49
9.05%	\$131.68	\$136.58	\$142.28	\$149.00	\$157.04
11.05%	\$104.24	\$106.65	\$109.36	\$112.42	\$115.91
13.05%	\$86.55	\$87.85	\$89.28	\$90.86	\$92.62
15.05%	\$74.15	\$74.9	\$75.70	\$76.58	\$77.53



BULL



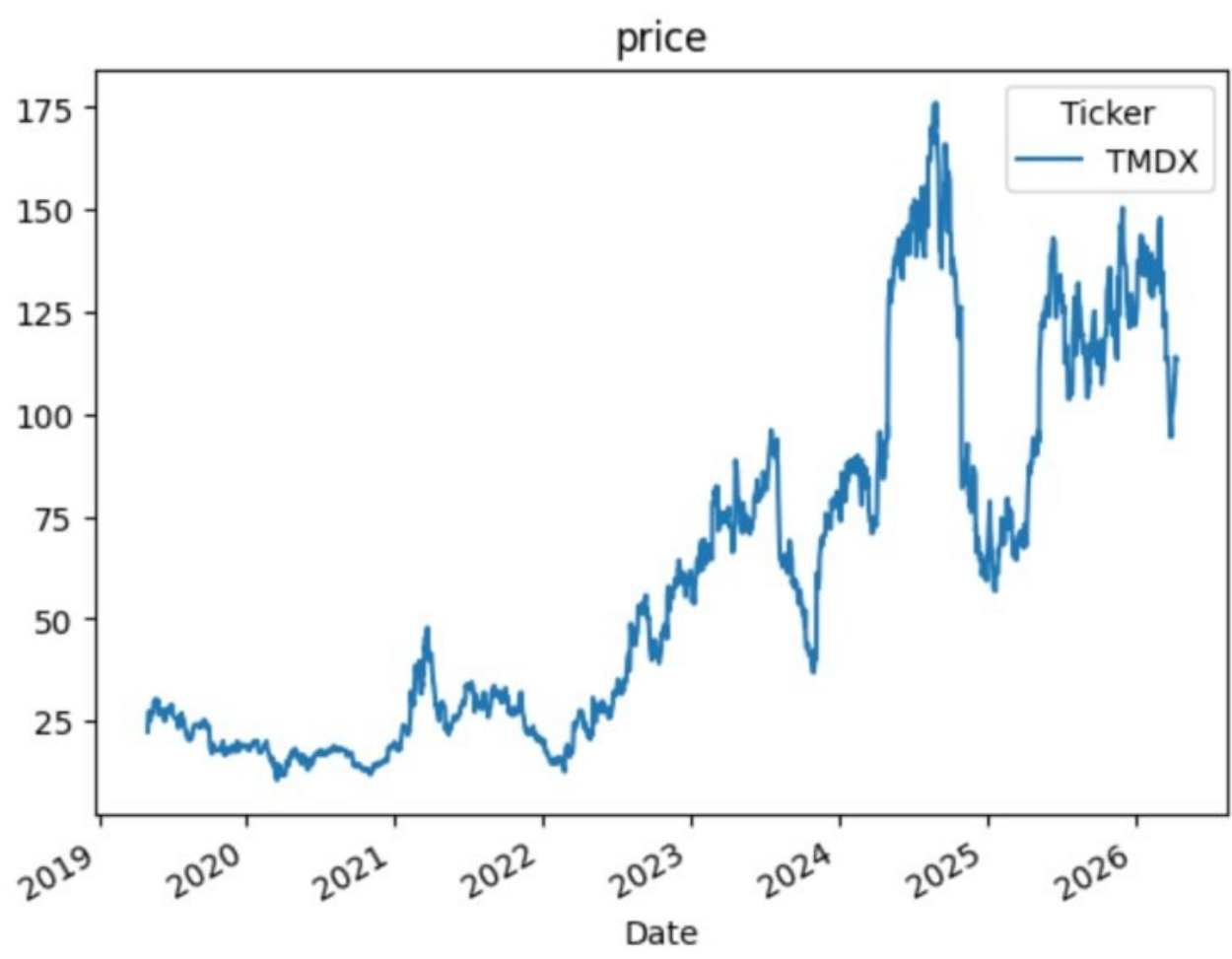
BASE



BEAR

APPENDIX 9

Historical Stock Performance



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